ILA PATNAIK: The budget demonstrates that limited fiscal space, intelligently deployed, can be more powerful than unconstrained spending. By targeting seven strategic manufacturing sectors with concrete schemes, anchoring services growth through institutional reform, and embedding frontier technologies across the economy, India isn't merely navigating global uncertainty, it's turning disruption into competitive advantage.

The 4.3 per cent fiscal deficit alongside rising effective capex to 4.4 per cent of GDP proves that discipline and ambition aren't opposing forces. Global supply chain rewiring creates a once-in-a-generation opening for India. This budget positions the country to seize it.

> **"The budget demonstrates that limited fiscal space, intelligently deployed, can be more powerful than unconstrained spending"**
>
> **— ILA PATNAIK**



RAJWANT RAWAT

Q. Do you think the FM missed an opportunity to announce big-ticket reforms in the budget?

NEELKANTH MISHRA: The finance minister referred to the 350 reforms announced since Independence Day last year and said they would continue. The budget is, first and foremost, a presentation of the fiscal plan of the government. Reforms can be announced at any time of the year.

ASHIMA GOYAL: Continuing and deepening reforms that have worked are better for the economy than one-time populist gimmicks. The budget extends tax process improvements to customs. Reforms have to be more than can fit into the budget, which has to become predictable since it is tied to a medium-term macroeconomic framework.

MADAN SABNAVIS: Budget is not the only platform for reforms; most are taken outside it by different ministries. Tax reforms were made last year, and this budget has made paying taxes simpler. Customs have been rationalised, keeping in mind the outside world and changing global conditions. Within expenditure, new areas have been focused on, which is saying a lot on reforms.

ILA PATNAIK: The decriminalisation of 180 legal provisions, the high-level committee to overhaul non-financial regulations and the trust-based governance shift toward AEO (Authorised Economic Operator) accreditation represent foundational reforms—less theatrical than headline tax cuts, but far more consequential for long-term growth.

The Education-to-Employment Committee tackles India's most stubborn bottleneck: the skills-jobs mismatch. The Corporate Mitras programme for MSMEs, the TReDS mandate and the safe harbour framework for IT services aren't incremental tweaks; they're structural reconfigurations.

Big-ticket reforms don't always arrive with fireworks. The budget's regulatory architecture, if executed well, will unlock productivity gains that outlast any single fiscal announcement. North Block chose depth over optics. That's strategic maturity, not missed opportunity.

Q. Will the proposals on high-value and technology-intensive manufacturing help improve competitiveness and job creation?

NEELKANTH MISHRA: Growth in high-technology sectors is important not only for strategic autonomy and national security, but also to benefit from the global boom in these sectors. The effort should be to capture more value in supply chains, which add to national income, which then has strong second-order effects on job creation. Having said that, the measures on services growth and on customs duty simplification and QCO removal on intermediate goods will benefit labour-intensive sectors the most.

ASHIMA GOYAL: They will help build necessary technology and manufacturing muscle for long-term jobs and productivity, while the initiatives on services and skilling create more jobs in the short term.

MADAN SABNAVIS: Prima facie, they should, as we have the skill and potential. This should create a new set of jobs and make industry more competitive.